

assume that CDs pay 8 percent. I assume a \$50,000 gain on sale of stocks, bonds, and notes. I assume the Does live on \$50 a day, or \$18,000 a year, after they retire. In 1988, while they're working to maintain their assets, I assume they need \$30,000.

Those assumptions simplify the example and seem reasonable at the time of this writing. You may want to change the assumptions based on your personal situation. But don't get too fancy about it. Refining assumptions too far is like using razor-sharp knives to cut butter. Just assume a few simple facts that fit your circumstances. In most cases, you should be pleased with the results of the conversion process.

With nearly half a million dollars in the bank, John and Mary Doe are retired and rich. Rather than work at the office, they work on a to-do list of things they've dreamed of doing. Rather than scrimping to pay the mortgage and taxes, they fly around the world on bargain airfares. Their idea of a tough decision is choosing the right wine for dinner. With half a million dollars in the bank they can enjoy retirement for the rest of their lives.

And all they did was convert their assets to cash.

YOUR NEW INVESTMENT STRATEGY

Once retired, like John and Mary Doe, you have a ton of cash. You need a clear, easy-to-follow investment rule that provides enough money for you to live. Here it is:

Buy one-year insured CDs

Buy your CDs in chunks of \$50,000 or more. Most banks and savings institutions give you their best rate on \$50,000 and above. Put each CD in a different institution, so as not to go over the \$100,000 FDIC or FSLIC insurance limits.

To find the best rates for your CDs, check the ads in local papers and *The Wall Street Journal*. You can also check milk